

AQA

GCSE ECONOMICS

8136/1

Paper 1 How Markets Work

Mark scheme

Predicted Paper — Moderate

Version: 1.0 Final

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers.

This mark scheme is for a predicted paper in the style of AQA GCSE Economics 8136/1 (How Markets Work). The format, command words, mark allocation and Assessment Objectives mirror the June 2024 paper.

It must be stressed that a mark scheme is a working document. Indicative content is provided as a guide for examiners. It is not intended to be exhaustive and other valid points should be credited. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

KEY LIST

01	C – resources are scarce but wants are unlimited	02	B – A delivery van used by a bakery
03	B – the £18 000 income given up	04	B – Higher wages due to developed skills
05	C – the tertiary sector had an output of £161.2 bn	06	C – 2.00:1
07	B – The firm sources its raw materials from sustainable suppliers	08	B – Demand increases
09	C – Firm C	10	A – –5%

Qu	Part	Marking guidance	Total marks
11		State two functions of money.	2
		AO1 = 2 1 mark for each correct example (max 2). Possible answers: • medium of exchange • store of value • unit of account / measure of value • standard of deferred payment <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	

Qu	Part	Marking guidance	Total marks												
12		Explain one impact of a monopoly on the price paid by consumers.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible impact on consumer prices explained.</td></tr><tr><td>1</td><td>1</td><td>Possible impact on consumer prices identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • lack of competition allows the monopoly to charge a higher price • consumers have no / few alternatives, so the monopoly can raise prices without losing many customers • restricted output leads to higher prices <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Possible impact on consumer prices explained.	1	1	Possible impact on consumer prices identified.		0	Nothing written worthy of credit.
Level	Marks	Description													
2	2	Possible impact on consumer prices explained.													
1	1	Possible impact on consumer prices identified.													
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Qu	Part	Marking guidance	Total marks												
13		Explain why a local farmers' market is an example of a market.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Reason explained.</td></tr><tr><td>1</td><td>1</td><td>Reason identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • a situation where buyers (consumers) and sellers (farmers) come into contact • there is demand (from consumers) and supply (from farmers) of food products • prices are agreed between buyers and sellers at the farmers' market <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Reason explained.	1	1	Reason identified.		0	Nothing written worthy of credit.
Level	Marks	Description													
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Qu	Part	Marking guidance	Total marks
14	1	Calculate the total profit earned by the bakery from selling 800 loaves of bread.	2
		AO2 = 2 • Total revenue = $£2.50 \times 800 = £2\,000$ • Total cost = $£1.20 \times 800 = £960$ • Total profit = $£2\,000 - £960 = \textbf{£1\,040}$ • Or: $(£2.50 - £1.20) \times 800 = £1\,040$ 1 mark for correctly calculating total costs or total revenue if final answer incorrect. 1 mark for correct method with correct figures but incorrect final answer. 2 marks for a correct answer with no working shown.	

Qu	Part	Marking guidance	Total marks												
14	2	Explain one way the bakery could increase its profit.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible way explained.</td></tr><tr><td>1</td><td>1</td><td>Possible way identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • reduce costs (e.g. buy flour in bulk for a discount) • increase the selling price • increase sales, e.g. through advertising or a loyalty scheme • product differentiation (e.g. artisan loaves) to justify a higher price <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Possible way explained.	1	1	Possible way identified.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks															
15		Analyse the possible impact of rising wages such as those shown in Figure 1 upon UK hospitality businesses.	6															
		AO2 = 2, AO3 = 4 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>3</td><td>5–6</td><td>A full analysis of the economic evidence, a well-developed and logical chain of reasoning.</td></tr><tr><td>2</td><td>3–4</td><td>An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.</td></tr><tr><td>1</td><td>1–2</td><td>Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Indicative content: • higher wages increase labour costs for hospitality firms • firms may pass higher costs on as higher menu prices → fall in customer demand • firms may try to cut hours or staff numbers → possible unemployment in the sector • some smaller cafés and pubs may be unable to absorb the cost → business closures • higher wages may improve worker motivation, productivity and retention • workers on higher wages have more disposable income → may raise demand for hospitality overall • reference to data: rise from £9.50 to £11.44 = approx. +20% over three years <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.	2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.	1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.		0	Nothing written worthy of credit.
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	0	Nothing written worthy of credit.																

Qu	Part	Marking guidance	Total marks
16		State two features of a market operating under perfect competition .	2
		AO1 = 2 1 mark for each correct feature (max 2). Possible answers: • a large number of buyers and sellers • homogeneous / identical products • free entry to and exit from the market • perfect information available to all • no individual firm can influence the market price (price takers) <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	

Qu	Part	Marking guidance	Total marks												
17		Explain one possible reason why doctors tend to earn more than supermarket cashiers.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible reason explained.</td></tr><tr><td>1</td><td>1</td><td>Possible reason identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • doctors require many years of education and training → restricts supply of qualified workers • doctors have much higher skill levels → higher productivity / value of output • demand for doctors is high (an ageing population needing healthcare) • strict qualifications and regulation act as a barrier to entry • fewer people are willing / able to do the work (long hours, high stress) <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Possible reason explained.	1	1	Possible reason identified.		0	Nothing written worthy of credit.
Level	Marks	Description													
2	2	Possible reason explained.													
1	1	Possible reason identified.													
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Qu	Part	Marking guidance	Total marks												
18		Explain one possible reason why the demand for table salt is likely to be price inelastic .	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible reason explained.</td></tr><tr><td>1</td><td>1</td><td>Possible reason identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • salt is a necessity used in cooking, so consumers still buy it even if the price rises • salt has very few close substitutes • salt takes only a tiny share of the household budget, so a price rise has little effect on quantity demanded • a clear explanation of the meaning of 'price inelastic' without reference to salt can score 1 mark <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Possible reason explained.	1	1	Possible reason identified.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks
19	1	Using Table 3 , calculate the daily productivity of the workforce of Rosie's Bakery. Give your answer to the nearest whole number.	2
		AO2 = 2 • $178 \div 5 = 35.6$ (1) loaves per worker per day • To nearest whole number = 36 (1) loaves per worker per day 2 marks for correct answer to nearest whole number with no working shown. 1 mark for correct answer not rounded to the nearest whole number.	

Qu	Part	Marking guidance	Total marks												
19	2	Explain one benefit of increased productivity to a business such as Rosie's Bakery.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible benefit explained.</td></tr><tr><td>1</td><td>1</td><td>Possible benefit identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • lower average (unit) costs of production • higher profit • allows lower selling prices → increased competitiveness with rival bakeries • allows Rosie's Bakery to supply more bread without hiring more workers • helps set fair targets and wages for workers <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	Level	Marks	Description	2	2	Possible benefit explained.	1	1	Possible benefit identified.		0	Nothing written worthy of credit.	
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Qu	Part	Marking guidance	Total marks
20		Draw and label demand and supply curves on the graph below from the following table of information. Clearly identify the equilibrium price and quantity.	3
		AO2 = 3 • 1 mark for correct drawing and labelling of the demand curve (downward-sloping through the four price–quantity points). • 1 mark for correct drawing and labelling of the supply curve (upward-sloping through the four price–quantity points). • 1 mark for correctly identifying the equilibrium price £5 and equilibrium quantity 10 units.	

Qu	Part	Marking guidance	Total marks															
21		Using Figure 2 and Table 4 , assess whether the benefits of growth for a business such as Harry's Honey exceed the costs.	9															
		AO2 = 3, AO3 = 6 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>3</td><td>7–9</td><td>A fully justified conclusion with sustained evaluation, coherent and relevant, with judgements supported by evidence. A full analysis of the economic evidence, a well-developed and logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; specialist language used throughout.</td></tr><tr><td>2</td><td>4–6</td><td>A partially justified conclusion with an evaluation, mostly coherent and relevant; judgements may not be fully supported by evidence. An incomplete analysis of the economic evidence; starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context; specialist language used mostly appropriately.</td></tr><tr><td>1</td><td>1–3</td><td>A basic conclusion or assertion may be present based on evaluative judgements supported by little or no evidence. Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; may use non-specialist language.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Indicative content: • Benefits (economies of scale): reduced long-run average total costs of production • explanation of specific economies of scale (technical, purchasing, financial, risk-bearing, marketing, managerial) • may increase profit that Harry can reinvest in more hives / machinery • may help Harry win larger contracts with supermarkets • use of data: AC at 500 = £8.00 per jar; AC at 1000 = £7.00 per jar; AC at 1500 = £6.50 per jar • Costs (diseconomies of scale): beyond a certain size, average costs rise again • specific reasons: communication problems, coordination difficulties, reduced worker motivation (linked to 'some mistakes have appeared') • use of data: AC at 2000 = £7.00 per jar → clear rise from £6.50 (diseconomies have set in) • Evaluation: benefits exceed costs up to around 1 500 jars, but costs start to exceed benefits above that level; optimum scale may be around 1 500 jars <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	3	7–9	A fully justified conclusion with sustained evaluation, coherent and relevant, with judgements supported by evidence. A full analysis of the economic evidence, a well-developed and logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; specialist language used throughout.	2	4–6	A partially justified conclusion with an evaluation, mostly coherent and relevant; judgements may not be fully supported by evidence. An incomplete analysis of the economic evidence; starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context; specialist language used mostly appropriately.	1	1–3	A basic conclusion or assertion may be present based on evaluative judgements supported by little or no evidence. Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; may use non-specialist language.		0	Nothing written worthy of credit.
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22		Define the term 'supply'.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Complete definition of supply.</td></tr><tr><td>1</td><td>1</td><td>Partial definition of supply.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • the quantity of a good or service that firms (producers) are willing and able to sell (at a given price in a given time period) (2 marks) • the willingness of firms to sell a good or service, backed up by the ability to produce it (2 marks) • the amount a firm produces / sells (1 mark) <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Complete definition of supply.	1	1	Partial definition of supply.		0	Nothing written worthy of credit.
Level	Marks	Description													
2	2	Complete definition of supply.													
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Qu	Part	Marking guidance	Total marks
23		Using Figure 3 , calculate the percentage change in the UK coffee shop price index between 2017 and 2023. Give your answer to the nearest whole %.	3
		AO2 = 3 2017 $\approx$ 105; 2023 $\approx$ 135 $(135 - 105) \div 105 \times 100 = 28.57\% \approx$ 29% Accept any answer between 27% and 31%, using answers from acceptable range. 1 mark for correct method but wrong answer. 1 mark for correctly identifying price indices for both 2017 and 2023 within acceptable ranges (104–106 and 134–136 respectively). 2 marks if not rounded to nearest whole %. 3 marks for a correct answer with no working shown.	

Qu	Part	Marking guidance	Total marks															
24		Analyse the possible positive externalities that may result from a growing number of coffee shops in a local area.	6															
		AO2 = 6 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>3</td><td>5–6</td><td>A full analysis of the economic evidence, a well-developed and logical chain of reasoning.</td></tr><tr><td>2</td><td>3–4</td><td>An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.</td></tr><tr><td>1</td><td>1–2</td><td>Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • increased footfall benefits other nearby shops and restaurants • coffee shops provide 'third place' community meeting spaces, improving social wellbeing • more jobs in the local area (baristas, suppliers) • more tax revenue for government (business rates, VAT, income tax) which can fund public services • regeneration of high streets and reduced vacancy rates • promotion of local produce / Fairtrade supply chains <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.	2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.	1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks															
25		Explain two possible disadvantages of the UK coffee shop market being dominated by a few large chains.	6															
		AO2 = 2, AO3 = 4 Apply the following mark scheme for each disadvantage. <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>3</td><td>3</td><td>A full and precise explanation applying economic concepts and issues.</td></tr><tr><td>2</td><td>2</td><td>A partial explanation applying economic concepts and issues but lacking detail.</td></tr><tr><td>1</td><td>1</td><td>Fragmented points made.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • higher prices for consumers (reduced competition) • reduced consumer choice • less product differentiation / homogenous experience on high streets • small independent shops driven out of business → unemployment • concentration of profits in a small number of (possibly foreign-owned) firms → less tax revenue for UK / less reinvested locally • chains may use their buying power to squeeze small suppliers (e.g. dairy farmers) <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	3	3	A full and precise explanation applying economic concepts and issues.	2	2	A partial explanation applying economic concepts and issues but lacking detail.	1	1	Fragmented points made.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks																					
26		The UK government may use several methods to reduce the market power of large coffee chains. Do you think the UK government should impose an extra tax on large coffee chains in the UK? Use Items A and B and your own economic knowledge to justify your view.	15																					
		AO2 = 5, AO3 = 10 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>5</td><td>13–15</td><td>A justified conclusion with sustained evaluation, coherent and relevant, with judgements fully supported by evidence. Analysis of a relevant selection of the economic evidence, with a well-developed logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; effective use of specialist language maintained throughout.</td></tr><tr><td>4</td><td>10–12</td><td>A partially justified conclusion with an evaluation, mostly coherent and relevant; judgements may not be fully supported by evidence. Analysis of a relevant selection of the economic evidence; a logical chain of reasoning is established but not fully developed. Strong application of knowledge and understanding of a broad range of concepts/issues relevant to the context; mostly effective use of specialist language throughout.</td></tr><tr><td>3</td><td>7–9</td><td>A partially justified conclusion with an evaluation, but not integrated in a coherent way; judgements are not fully supported by evidence. Analysis of a relevant selection of the economic evidence and starts to develop a chain of reasoning. Good application of knowledge and understanding of a broad range of concepts/issues relevant to the context; consistent use of specialist language but not always effective.</td></tr><tr><td>2</td><td>4–6</td><td>A basic conclusion is present based on simple evaluative judgements supported by little or no evidence. Analysis of a relevant selection of the economic evidence with no chain of reasoning attempted. Simple application of knowledge and understanding of a narrow range of concepts/issues relevant to the context; sporadic use of specialist language.</td></tr><tr><td>1</td><td>1–3</td><td>Evaluative judgements are simple with no conclusion present. Analysis of a limited selection of the economic evidence with no chain of reasoning attempted; selection of evidence may lack relevance. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; uses non-specialist language.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Indicative content: Yes (in favour of taxing chains): • addresses concentration of market power (oligopoly behaviour) • revenue could be used to support independent shops • use of data: chains account for more than half of branded outlets (Item A) • price rises of ~35% since 2018 suggest the chains face weak competitive pressure		Level	Marks	Description	5	13–15	A justified conclusion with sustained evaluation, coherent and relevant, with judgements fully supported by evidence. Analysis of a relevant selection of the economic evidence, with a well-developed logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; effective use of specialist language maintained throughout.	4	10–12	A partially justified conclusion with an evaluation, mostly coherent and relevant; judgements may not be fully supported by evidence. Analysis of a relevant selection of the economic evidence; a logical chain of reasoning is established but not fully developed. Strong application of knowledge and understanding of a broad range of concepts/issues relevant to the context; mostly effective use of specialist language throughout.	3	7–9	A partially justified conclusion with an evaluation, but not integrated in a coherent way; judgements are not fully supported by evidence. Analysis of a relevant selection of the economic evidence and starts to develop a chain of reasoning. Good application of knowledge and understanding of a broad range of concepts/issues relevant to the context; consistent use of specialist language but not always effective.	2	4–6	A basic conclusion is present based on simple evaluative judgements supported by little or no evidence. Analysis of a relevant selection of the economic evidence with no chain of reasoning attempted. Simple application of knowledge and understanding of a narrow range of concepts/issues relevant to the context; sporadic use of specialist language.	1	1–3	Evaluative judgements are simple with no conclusion present. Analysis of a limited selection of the economic evidence with no chain of reasoning attempted; selection of evidence may lack relevance. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; uses non-specialist language.		0	Nothing written worthy of credit.
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	0	Nothing written worthy of credit.																						

- could reduce market failure and raise consumer surplus

No (against taxing chains):

- tax may simply be passed on as higher prices (Item B) → worse for consumers
- may reduce employment at large chains
- consumers can already switch to home-made coffee or other hot drinks (Item A)
- administrative costs / opportunity cost of enforcement
- risk of deterring inward investment into the UK high street

Overall judgement:

- depends on the size of the tax and whether revenue is earmarked for independent shops
- depends on government priorities — tackling market power vs. keeping taxes simple
- short-run (higher prices) vs. long-run (more competitive high streets) trade-off

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.